Literature Review

Public Economics - Enrico Rubolino 3A ENSAE

Who Pays When Fathers Don't ? Child Support Enforcement, Single Mothers, and Debtor Responses in France

Research Question: What are the effects of automatic public intermediation of child support on payment compliance, on the economic security of creditor parents, and on the behaviour of debtor parents ?

Other related questions :
- Does switching from opt-in to default intermediation increase take-up and the regularity of payments?
- Does more secure child support income affect mothers' labour supply, their reliance on some benefits (RSA,prime d'activité, ASF), and child poverty ?
- What is the net fiscal cost of the reform, and what is its welfare value per euro spent?

1 Theoretical Framework

2 Automatic Withholding and Payment Compliance

3 Responses of Paying Parents

4 Receiving Mothers: Labor Supply, Benefits, and Living Standards

4.1 C. Bonnet, B. Garbinti, A. Solaz, "The Flip Side of Marital Specialization: The Gendered Effect of Divorce on Living Standards and Labor Supply", Journal of Population Economics, 2021

Motivation Divorce hurts women more than men. In prior studies, women's living standards fall by 10–40%, while men's stay stable or rise. The usual explanation is **custody**: mothers bear the cost of raising the children. The authors argue this is only part of the story. Theory (Cigno 2012; Lafortune & Low 2019) treats marriage as a commitment device. It lets one spouse specialize in home production in exchange for compensation. If that compensation is insufficient at divorce, the cost of specialization shows up. Existing evidence has three weaknesses:
- It mostly compares the same people before and after divorce, which is not causal.
- It relies on small survey samples with non-random attrition.
- It often observes only one side of child support (paid or received, not both).

Research question What is the causal effect of divorce on each ex-spouse's living standard and labor supply? And is the gender gap driven mainly by the number of children or by within-couple earnings inequality, used as a proxy for marital specialization?

Data and design Data: exhaustive French income-tax and housing-tax returns. The sample covers couples who divorced or dissolved a PACS in 2009, aged 20–55: about 64k women and 56k men.

Outcome: living standard in 2008 vs 2010, built in three steps:
- pre-transfer income,
- plus child support,
- plus net public transfers (benefits are imputed).

Method: difference-in-differences combined with nearest-neighbor propensity score matching. Matching is done separately in 24 groups defined by gender × number of children × the man's share of couple earnings. It uses more than 40 covariates, including earnings in each of the 3 years before divorce.

Contributions **Data**: both ex-partners are observed, with child support both paid and received. Attrition is 7% and is reweighted.
Causal estimates: women lose 19% (vs –14% before–after). For men, the sign flips to –2% (vs +3.5% before–after).
Mechanism: An accounting decomposition (eq. 1–2) and the regressions both show that within-couple earnings inequality matters far more than the number of children. The second earner loses regardless of gender. Men who earned less than 40% of couple earnings lose about 20%.
Role of transfers: Public transfers remove the link between number of children and women's losses. Child support

raises women's living standard by about 6 percentage points and reduces men's gain by about 9 points.
Labor supply: Previously inactive women are 29 percentage points more likely to enter work than their matched controls. Working women's labor income rises by 12%. Divorced men face about a 40% higher risk of unemployment. Robustness: results hold for medians, alternative equivalence scales, PACS dissolutions and the repartnered sample. Repartnering largely offsets the losses.

5 Guaranteed Maintenance, Tax-Benefit Interactions, and Default Effects

6 French Institutional Sources